

Multiple Choice

1. **Answer:** A

Options: A) tariffs protecting domestic jobs are eliminated.; B) the literacy rate improves.; C) the tax rate is lowered.; D) the inflation rate decreases.; E) there is an increase in technological advancements.

Note: Correct option: A - tariffs protecting domestic jobs are eliminated.

2. **Answer:** A

Options: A) Conducting monetary policy for the government; B) Offering educational services on finance; C) Investing in securities; D) Issuing credit cards; E) Setting interest rates for the entire economy

Note: Correct option: A - Conducting monetary policy for the government

3. **Answer:** B

Options: A) an increase in net exports; B) a decrease in net exports; C) an increase in the real interest rate; D) an increase in the nominal interest rate

Note: Correct option: B - a decrease in net exports

4. **Answer:** A

Options: A) Interest is the penalty for early consumption; B) Interest is the reward for immediate consumption; C) Interest is a fee charged by banks independent of market forces; D) Interest rates fluctuate based on the phases of the moon; E) Interest is a tax on savings that discourages postponing consumption

Note: Correct option: A - Interest is the penalty for early consumption

5. **Answer:** A

Options: A) \$599.69; B) \$744.40; C) \$681.47; D) \$880

Note: Correct option: A - \$599.69

True / False

6. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Business cycle'.

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'It will be located above the equilibrium price.'

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'day; The Bureau of Labor Statistics'.

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: '6'.

10. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** Price rises, but the change in quantity is ambiguous.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** $MRC = MRP$ for labor and a firm will pay each worker a wage equal to the MRP of the last worker hired.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key